

How to Implement Your Accountable Plan

Quick Guide for S-Corporation Owners

What This Plan Does

An Accountable Plan allows your S-Corporation to reimburse you for real business expenses.

When done correctly:

- The company deducts the expense
- You do NOT pay payroll tax on the reimbursement
- The reimbursement is NOT treated as wages

This helps keep your salary clean and compliant.

Step 1 – Adopt the Plan

Use the provided Accountable Reimbursement Plan template.

- Insert your company name
- Add the effective date
- Sign and keep it with your corporate records

This document should be kept on file before reimbursements begin.

Step 2 – Track Legitimate Business Expenses

Only reimburse expenses that are:

- Ordinary
- Necessary
- Directly related to your business

Common examples:

- Home office portion used for business
- Business mileage
- Business use of phone and internet

- Office supplies and software
- Equipment used for business

Personal expenses are not allowed.

Commuting to and from work is not allowed.

Step 3 – Document Each Expense

You must keep proof.

For every reimbursement, keep:

- The amount
- The date
- The business purpose
- A receipt, invoice, or mileage log

If you cannot show documentation, the reimbursement may become taxable.

Step 4 – Submit an Expense Report

Create a simple report that lists:

- Date
- Description
- Business purpose
- Amount

Attach receipts.

Submit within a reasonable time (generally within 60 days).

Step 5 – Reimburse from the Business Account

The S-Corporation must pay you from the business bank account.

Important:

- ✓ Use actual cash movement
- ✓ Transfer funds or write a check

- ✗ Do NOT use only journal entries
- ✗ Do NOT “net” against distributions

Paper entries without payment can cause problems in an audit.

Step 6 – Avoid These Common Mistakes

Do NOT:

- Pay flat monthly allowances
- Estimate expenses without proof
- Reimburse personal costs
- Skip documentation
- Treat reimbursements like extra salary

If documentation is missing, the IRS may treat the payment as taxable wages.

Step 7 – Keep Records

Keep copies of:

- The signed Accountable Plan
- Expense reports
- Receipts and logs
- Bank records showing payment

Store them with your corporate records.

Why This Matters

An Accountable Plan works because it follows IRS rules.

It fails when:

- Expenses are not documented
- Payments are not made properly
- Personal costs are mixed in

When done correctly, it is a clean and accepted tax structure for S-Corporations.